

that you can make the repayments, and budgeting ahead is smart. Just because you can buy inexpensively doesn't mean repaying this house over the next three decades is going to be a walk in the master-planned park.

Prioritising price

A cheap house doesn't mean it's a bargain. Aside from the mortgage repayments, consider how much it will cost you, in everyday ways, to live in that property. Buying a cheaper home often means moving further out from a city centre, and the greater the distance, the sweeter the prices, but the commute to work, schools and social activities could have an impact on your finances and happiness that erodes any possible gains. Consider the cost of running an extra car. If you can't be home in reasonable time from work, do you need to budget for the cost of after-school childcare, or will you need to leave your job for a role that pays less but is closer to home?

In their 2015 book *City Limits: Why Australia's Cities Are Broken and How We Can Fix Them*, Grattan Institute researchers Jane-Frances Kelly and Paul Donegan found that city sprawl can be a burden on time and money. In an interview with ABC Radio, Donegan said, '[M]ore than half of recent population growth in Australia's big cities has been happening in the outer suburbs, more than twenty kilometres from city centres.' He added, 'Meanwhile, most of the job creation is happening in the inner suburbs in the city centres, within ten kilometres of the CBD. This is a big and growing divide between where people live and where people work.'

Researchers profiled a household that was spending 20 hours or more a week in the car and \$900 a month on petrol and parking, cutting into family time and leisure time. Donegan said:

We did some mapping and found that in many parts of outer Melbourne, Sydney, Brisbane and Perth you can reach one in 100 of the jobs in the whole city by public transport. So really that means that households are essentially dependent on cars.

Public transport tends to be a lot cheaper to use, and so what we are seeing is people who have been pushed to the outer fringes of city centres because of affordability concerns, and because of the way the housing market is working, also face higher living costs because they need to run a car to get to work and get around.